



Figure 3: WCT Allocations

Tokens allocated to core development, team and previous backers will be subject to a 4-year unlock including a 1 year cliff starting at the token generation event (TGE).

The Airdrops allocations will be released in seasonal airdrops starting at the token’s public launch and continuing throughout the following years.

6.3 Token Inflation

The initial design of the WalletConnect Network’s tokenomics does not include token inflation. The current model focuses on utilizing existing token allocations and the potential to introduce fee structures to support Network operations and incentivize participation such that inflation is not envisioned within the first 3-4 years.

However, the Network’s governance structure and community retain the flexibility to implement inflation mechanisms in the future if deemed appropriate. Any decision to introduce inflation would be subject to careful consideration of Network metrics, participant feedback, and overall ecosystem health, with specific parameters to be determined through Network governance processes.

6.4 Token Flow

As demonstrated by the consistent growth in remote connections, there is an increasing demand for decentralized products and services. This demand translates into computational bandwidth and storage capacity requirements, generating costs for each connection established through the Network.

The simplified token flow within the WalletConnect Network follows these steps: